GMS WEEKLY

Your Source for Recycling News

November 26th, 2021
Volume 231, Issue 1007
Week 49

Highlights:

- **Steel spooks.**
- **Acute shortage.**
- **Pause.**
- **Suezmax sold.**
- **Quieter end.**

QUOTE of the WEEK

"It is only when we take chances, when our lives improve. The initial and the most difficult risk that we need to take is to become honest."

– *Walter Anderson*

MARKET COMMENTARY

TALKING DOWN!

Over the recent weeks, following a sharp decline in Indian local steel plate prices (in excess of USD 60/LDT) has expectantly resulted in a sub-continent recycling sector that has been rocked and left many Recyclers spooked and opting to wait and monitor developments, rather than negotiate / commit on fresh tonnage.

However, the acute shortage of vessels continues and there is really very little working firm for Cash Buyers and Recyclers alike, to even offer on at the moment.

As such, this pause in activity may somewhat be artificial and the impact on prices may be limited in real terms, especially once we have actual workable candidates.

Such was the case with the one market sale of the week, a Suezmax tanker that still managed to fetch a decent USD 625/LT LDT basis an 'as is' Batam delivery, from one bullish Cash Buyer.

Most in the industry are still attempting to talk the market down, with either depreciating currencies in Pakistan and **especially** in Turkey (with record lows being recorded by the week), fluctuating steel plate prices in Bangladesh and India, and uncertainty on forward markets, being one of the chief concerns of the moment.

As such it may be a quieter end to the year across the sub-continent, as end Buyers take stock of a remarkable 2021, where prices have more than doubled and the industry now adjusts to these new realities, at and above USD 600/LT LDT.

For week 49 of 2021, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Declining	600 / LDT	610 / LDT	620 / LDT
2	Pakistan	Declining	590 / LDT	600 / LDT	610 / LDT
3	India	Declining	560 / LDT	570 / LDT	580 / LDT
4	Turkey	Weak	330 / LDT	340 / LDT	350 / LDT

BANGLADESH

LISTLESS!

Mostly quiet.

It has been another largely listless week in Bangladesh, with very few end Buyers coming forth to even offer on units, as they remain fearful of some of the dramatic steel falls that have been posted in India over recent weeks and wonder whether their market may be similarly affected before the year turns.

The Chattogram steel market has not been affected as badly as its neighbours, with major steel falls and future prices suggesting a relatively stable to firm market moving into the final month of the year.

Tanker sale.

As such, the only firm unit for the week saw the Suezmax tanker JACOB (22,572 LDT) committed for a rather firm USD 625/LT LDT basis an 'as is' Batam, in gas free for man entry condition.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
JACOB	Tanker	22,572	USD 625/LT LDT ('as is' Batam)

INDIA

STILL REELING!

Steel decline.

The Indian market is still reeling from some of the significant steel falls witnessed over the last few weeks, including this week, where prices fell an additional $14/Ton, resulting in an overall whopping decline of over USD 60/Ton in plate prices.

While this has certainly affected local sentiments and left most end Buyers in panic mode, a healthy majority are preferring to wait and watch market developments, rather than offering on any of the limited number of market vessels available.

Currency fine.

The Indian Rupee continues trading in the mid Rs. 74s range against the U.S. Dollar, displaying few currency concerns – unlike in Pakistan and even Turkey, where the Lira is in freefall.

Notwithstanding, the constantly fluctuating nature of the local steel market does however suggest that prices could well regain their ground in due course and Indian offerings could remain competitive as we enter 2022.

NO MARKET SALES REPORTED

PAKISTAN

EXCUSES EXCUSES!!

Steel still firm.

As is ever the case in the Indian sub-continent markets, when one market declines, others use this as an excuse to follow, and Pakistani Recyclers have historically led the way on this front and this this week was no different, despite their own steel prices firming nearly USD 25/Ton.

There have not been as many firm candidates to work on of late, but any available tonnage is being met with mostly indifference, especially at the higher market prices from even last week.

Little chance.

Of course, there seems there's little chance for Gadani Recyclers to secure any anticipated bargains (especially on choice units), with the ongoing paucity in the supply of tonnage and despite the overall performance of Pakistani steel markets – local prices and sentiments might not remain subdued for too long.

NO MARKET SALES REPORTED

TURKEY

TUMULTOUS TIMES!!!

The performance of the Turkish market has been extremely confusing and especially tumultuous of late. Although a massive jump in import steel prices had certainly assisted in the firming of Turkish demand and vessel offerings at the time, however, the Lira has fallen off a cliff ever since and import steel has also retreated by about USD 7/Ton this week.

Lira breaches 13.25

The Lira, of note, has been extremely troubling, as it briefly breached a record low TRY 13.25 against the U.S. Dollar before it settled in at TRY 12.40 as the week ended.

Plummeting levels.

This has shaken up the caution-meter for local Recyclers and though demand is omnipresent, it certainly has shaken the expectation of possibly plummeting levels in the coming week(s), in the minds of local Buyers.

NO MARKET SALES REPORTED

AMAZING FACTS

- *If the human brain were a computer, it could perform 38 thousand-trillion operations per second. The world's most powerful supercomputer, BlueGene, can manage only .002% of that.*
- *Multiple "Marlboro Men" have died from lung cancer.*
- *Seahorses are monogamous life mates and travel in pairs, holding each other's tails.*
- *There is a garbage swirl in the Pacific Ocean the size of Texas.*
- *The delegates who attended the Constitutional Convention spent much of their time getting drunk. One surviving document is a bill for a party on September 15th, 1787, two days before the signing of the Constitution. Items on the bill were: 54 bottles of Madeira, 60 bottles of Claret, 8 bottles of whiskey, 8 bottles of cider, 12 bottles of beer, and 7 bowls of alcoholic punch. All of this for 55 people.*
- *You have a 1 in 200 chance of being related to Genghis Khan.*
- *When your mother was born, she was already carrying the egg that would become you.*
- *Jousting is the official sport of the state of Maryland.*
- *"Rain of fish" is an annual weather event in which hundreds of fish rain from the sky onto the Honduran city of Yoro.*
- *It takes a photon 200,000 years to travel from the core of the Sun to the surface, then just a little over 8 minutes from the Sun's surface to your eyeball.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
December 25 – Christmas Day	December 05 – December 10 December 17 – December 24

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
December 16 – Victory Day of Bangladesh December 25 – Christmas Day	December 03 – December 06 December 19 – December 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in December.	December 25 – Christmas Day	**No holidays in December.**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of November 26, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Ari*	*6,023*	*Vehicle Carrier*	*Beached November 20*
2	Aum	1,598	Oil Tanker	Arrived November 24
3	*Big Orange (Under Tow)*	*1,457*	*Supply Vessel*	*Beached November 25*
4	*Glomma*	*1,826*	*Oil Tanker*	*Beached November 25*
5	*Golden*	*13,166*	*Tanker*	*Beached November 20*
6	Goldstar Nari	2,947	Chemical Tanker	Arrived November 26
7	Jalpari	2,999	Oil Tanker	Arrived November 23
8	*Pharmony*	*3,193*	*Oil Tanker*	*Beached November 24*
9	Ramagas	6,720	LPG	Arrived November 24
10	*Rio (Under Tow)*	*8,729*	*Jack-up*	*Beached November 18*
11	*Saga Wave*	*10,679*	*General Cargo*	*Beached November 20*
12	Zara 17	1,180	Oil Tanker	Arrived October 10
Total Tonnage		**60,518**		

CHATTOGRAM - Port Position as of November 26, 2021

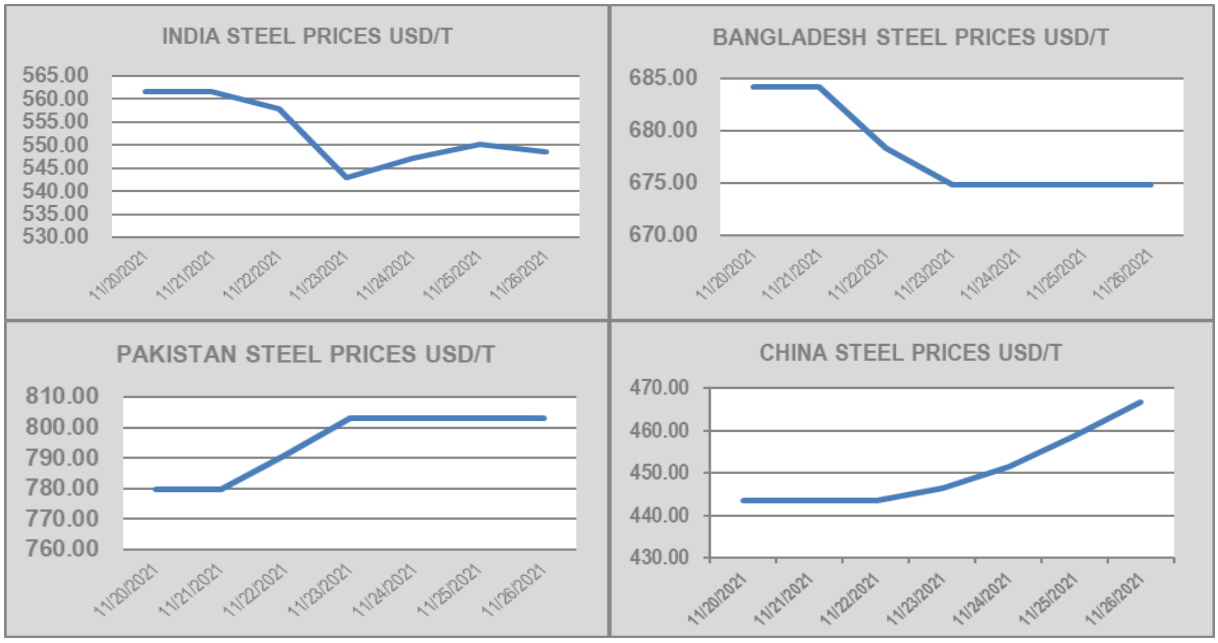
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Altair	6,395	RoRo	Arrived November 26
2	*Aventine*	*16,365*	*Tanker*	*Beached November 20*
3	Bull Sumbawa	7,842	Tanker	Arrived November 23
4	*Darshan (Under Tow)*	*4,613*	*Hopperdredger*	*Beached November 22*
5	*Formula One*	*997*	*Tanker*	*Beached November 24*
6	Global	42,152	Tanker	Arrived November 21
7	*Muskie*	*13,841*	*Tanker*	*Beached November 21*
8	*North East 33*	*1,906*	*Tanker*	*Beached November 23*
9	Ocean 68	2,369	General Cargo	Arrived November 23
10	Ostrov Russkiy	2,397	Tanker	Arrived November 19
11	*Sunshine 16*	*740*	*Tanker*	*Beached November 23*
Total Tonnage		**99,617**		

GADANI - Port Position as of November 26, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Aliman*	*2,986*	*Live Stock Carrier*	*Beached November 25*
2	Antares Experience	24,541	Passenger Ship	Arrived November 23
3	Red Sea Pearl	1,894	Tanker	Arrived November 25
4	*Troy 1*	*772*	*Tug*	*Beached November 26*
Total Tonnage		**30,193**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
11/20/2021	561.69	41,700.00	779.66	138,000.00	684.21	58,500.00	443.50
11/21/2021	561.69	41,700.00	779.66	138,000.00	684.21	58,500.00	443.50
11/22/2021	557.80	41,500.00	790.96	140,000.00	678.36	58,000.00	443.50
11/23/2021	542.86	40,400.00	802.98	140,000.00	674.85	57,700.00	446.59
11/24/2021	547.04	40,700.00	802.98	140,000.00	674.85	57,700.00	451.47
11/25/2021	550.26	41,000.00	802.98	140,000.00	674.85	57,700.00	458.74
11/26/2021	548.64	41,000.00	802.98	140,000.00	674.85	57,700.00	466.87



www.gmsinc.net GMS_Leadership GMS, Inc. snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311